2025

(NEP—2020)

(3rd Semester)

ECONOMICS

(Multi-disciplinary Course)

(Fundamentals of Economics)

(Regular & Repeater)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. "Economics is the science of wealth." Who gave this definition?

(a) Adam Smith ( )

(b) Alfred Marshall ( )

(c) David Ricardo ( )

(d) Lionel Robbins ( )

2. The law of demand states that an increase in the price of a good

(a) increases the supply of that good ( )

(b) decreases the quantity demanded for that good ( )

(c) increases the quantity supplied of that good ( )

(d) None of the above ( )

3. Giffen goods are

(a) high-income, luxury goods ( )

(b) high-income, non-luxury goods ( )

(c) low-income, luxury goods ( )

(d) low-income, non-luxury goods ( )

4. The production method of measuring national income is also known as

(a) net output method ( )

(b) net value-added method ( )

(c) industry of origin method ( )

(d) All of the above ( )

5. NNP at Market prices + Depreciation – Net Indirect taxes equals

(a) GNP at market prices ( )

(b) NNI at market prices ( )

(c) GNP at factor cost ( )

(d) GDP at factor cost ( )

6. Who presented the first budget of Independent India?

(a) Dadabhai Naoroji ( )

(b) Indira Gandhi ( )

(c) Jawaharlal Nehru ( )

(d) Shanmukham Chetty ( )

7. Which of the following is direct tax?

(a) Service tax ( )

(b) Entertainment tax ( )

(c) Corporate tax ( )

(d) Sales tax ( )

8. Which of the following budgets is India's first Paperless Budget Presentation?

(a) Budget 2020–2021 ( )

(b) Budget 2019–2020 ( )

(c) Budget 2021–2022 ( )

(d) Budget 2022–2023 ( )

9. As per the 2011 Census, the least populated State in India is

(a) Arunachal Pradesh ( )

(b) Goa ( )

(c) Mizoram ( )

(d) Sikkim ( )

10. Which one of the following is the policy that helps integrate a domestic economy with the world economy?

(a) Centralization ( )

(b) Globalization ( )

(c) Liberalization ( )

(d) Privatization ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 25)

Answer/Write short notes on *five* of the following, taking at least *one* from each Unit : 5×5=25

UNIT—I

1. Difference between microeconomics and macroeconomics
2. Demand schedule and demand curve
3. State the law of supply.

UNIT—II

4. GDP and NNP
5. Sources of public revenue
6. Kinds of budgets

UNIT—III

7. Difference between economic growth and economic development

8. Sex ratio in India

9. Rationale of economic reforms in India

(SECTION : C—DESCRIPTIVE)

(*Marks* : 40)

Answer *four* questions, taking at least *one* from each Unit : 10×4=40

UNIT—I

1. Critically examine Lionel Robbins' definition of Economics. 10

2. Explain briefly the central problems of an economy. 10

3. State the law of demand. Briefly explain the various determinants of demand. 3+7=10

UNIT—II

4. Define national income. Explain the different methods of measuring national income. 2+8=10

5. Briefly explain the budget preparation and passing procedure in India. 10

6. What is public expenditure? Give reasons for the growth of public expenditure. 2+8=10

UNIT—III

7. Explain the important characteristics of the Indian economy. 10

8. Examine how far the rapid growth of population adversely affects the Indian economy. 10

9. Give a brief note on the new economic reforms introduced in India since 1991. 10

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